

City of Napa

Annual Report on Development Impact Fees with Required Five-Year Findings Fiscal Year Ending June 30, 2021



**Prepared by Finance Department
Presented to City Council on
January 17, 2022**

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Big Ranch Specific Plan Area Development Impact Fee Fiscal Year Ending June 30, 2021

For purpose of complying with Government Code Section 66006(b)(1), the following information is presented:

(A) Brief description of the fee.

The fee is established to finance public infrastructure facilities, as identified in the Basic Infrastructure Program, which are needed to provide essential public services for new development within the Big Ranch Specific Plan Area. (Napa Municipal Code Chapter 15.98; Res. 2008-57)

(B) The amount of the fee.

Residential

Single-Family \$ 10,590.00

Multi-Family \$ 6,136.00

Commercial \$ 15.92 per square foot

Medical Office \$ 7.93 per square foot

(C) Beginning and ending balance of the account or fund.

(D) The amount of the fees collected and the interest earned.

(E) An identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees.

(F) An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.

Big Ranch Specific Plan Area Development Fee

Beginning Balance, July 1, 2020 1,856,919.16

Revenues:

Fees Collected	—
Interest	7,020.60

Expenditures:

Project Costs		Est. Construction Start Date	% of Total Project Funded by DIF
Big Ranch Road Widening	3,097.38	FY 2023/24	78.33%
Sierra Ave Extension to Villa	2,165.20	FY 2023/24	100.00%
Trower Ave Extension to Big Ranch Plan Line	—	FY 2023/24	100.00%
Bank Fees	1,272.41		
Fee Study & Project Analysis	14,301.69		

Ending Balance, June 30, 2021 1,857,404.77

The “% of Total Project Funded by DIF” column above shows the percentage of total project costs that are planned to be funded by the Development Impact Fee.

(G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.

No interfund transfer or loans have been made utilizing these funds.

(H) The amount of refunds made pursuant to subdivision (e) Section 66001 and any allocations pursuant to subdivision (f) of Section 66001.

No refunds have been paid out of this fund.

Five-Year Findings – Big Ranch Specific Plan Area Development Impact Fee

For purposes of complying with Government Code Section 66001(d)(1), the City hereby finds as follows with respect to that portion of the account or fund remaining unexpended, whether committed or uncommitted:

(A) Identifying the purpose to which the fee is to be put.

The current fund balance of \$1.86 million will be fully spent on the three streets projects currently in progress within the Big Ranch Specific Plan Area, including the required property acquisition for additional street right of way. These projects will require additional development impact fees to be collected in future years. The Estimated Total Project Cost for the Trower Ave Extension project below only includes costs for engineering and design per the description of work within the fee study.

Big Ranch Specific Plan Area Development Fee

Improvements	Account	Estimated Total Project Cost	DIF Funding: Inception through FY 20/21	Projected Future DIF in CIP Budget	Anticipated Other Funding Sources
Big Ranch Road Widening	ST11PW02	2,307,000	364,653	1,442,347	Street Improvement Fee Underground Component
Sierra Ave Extension to Villa	ST14PW07	1,108,000	144,830	963,170	None
Trower Ave Extension to Big Ranch Plan Line	ST15PW02	100,000	33,542	66,458	None
	Totals	3,515,000	543,025	2,471,975	

(B) Demonstrate a reasonable relationship between the fee and the purpose for which it is charged.

The Fee Update Report (as referenced in Resolution 2008-57) contained a detailed nexus analysis, describing the need for the identified facilities and attributing the portion associated with new development to the various projects. The analysis contained in the technical reports remains valid and is incorporated by reference herein.

(C) Identify all sources and amounts of funding anticipated to complete financing for improvements not completed.

The Big Ranch Road Widening Project budget includes \$0.5 million from the Street Improvement Fee (Underground Component) fund. The other projects are funded 100% by the Big Ranch Area DIF.

(D) Designate the approximate date when such funding for incomplete improvements is expected to be deposited into the appropriate account or fund.

We anticipate having all funds necessary by FY 2026/27.

Fire and Paramedic Development Impact Fee Fiscal Year Ending June 30, 2021

For purpose of complying with Government Code Section 66006(b)(1), the following information is presented:

(A) Brief description of the fee.

The fee is established to provide for the funding of capital facilities for fire and paramedic services, including acquisition of land, cost of construction (which term includes the planning, administration, and design as well as actual building or installation) and equipment necessary for the construction of Fire Station No. 5. (Napa Municipal Code Chapter 15.78, Reso. 2016-164)

(B) The amount of the fee.

Single-Family Residential	\$ 656.00	/dwelling unit
Multi-Family Residential	\$ 589.00	/dwelling unit
Commercial	\$ 0.51	/sq ft
Office	\$ 0.32	/sq ft
Residential Care Facilities (MIN)	\$ 1.17	/sq ft
Residential Care Facilities (MAX)	\$ 6.17	/sq ft
Industrial	\$ 0.05	/sq ft
Governmental	\$ 0.00	/sq ft

(C) Beginning and ending balance of the account or fund.

(D) The amount of the fees collected and the interest earned.

(E) An identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees.

(F) An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.

Fire and Paramedic Development Impact Fee

Beginning Balance, July 1, 2020	(3,784,878.04)
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Revenues:

Fees Collected	267,366.19
Interest	175.97

Expenditures:

Project Costs	
Bank Fees	165.45
Interest on Loan	55,621.76

Ending Balance, June 30, 2021	<u>(3,573,123.09)</u>
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(G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.

Pursuant to Resolution No. R2016-165, the City Council authorized a loan from the General Fund to the Fire and Paramedic Development Impact Fee in the amount of \$4,824,940 to fund a portion of the costs of construction for Fire Station No. 5. The loan is required to be repaid from this Fee Fund as revenues are received, with an interest rate on the loan of 1.45%. It is estimated that the loan will be repaid by 2045.

(H) The amount of refunds made pursuant to subdivision (e) Section 66001 and any allocations pursuant to subdivision (f) of Section 66001.

No refunds have been paid out of this fund.

Five-Year Findings – Fire and Paramedic Development Impact Fee

For purposes of complying with Government Code Section 66001(d)(1), the City hereby finds as follows with respect to that portion of the account or fund remaining unexpended, whether committed or uncommitted:

There are no Fire and Paramedic Development Impact Fee revenues that remain unexpended. Therefore, there are no additional findings required.

High Priority Improvement Payback Fee (Linda Vista Specific Plan) Fiscal Year Ending June 30, 2021

For purpose of complying with Government Code Section 66006(b)(1), the following information is presented:

(A) Brief description of the fee.

The fee is established for street and storm drainage improvements in the Linda Vista Specific Plan area, along with a recreation center (Las Flores). (Napa Municipal Code Chapter 15.88)

(B) The amount of the fee.

Planning Study Fee	\$ 58.58	/new dwelling unit
Residential Development Fee	\$17,132.43	/acre
Recreation Center Fee	\$ 1,160.81	/new dwelling unit

(C) Beginning and ending balance of the account or fund.

(D) The amount of the fees collected and the interest earned.

(E) An identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees.

(F) An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.

Residential Development Fee

Beginning Balance, July 1, 2020	1,493,012.23
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Revenues:

Fees Collected	9,011.64
Interest	5,420.96

Expenditures:

Project Costs		Est. Construction Start Date	% of Total Project Funded by DIF
Trower Ave Widening: Young to Linda Vista	9,899.43	FY 2022/23	70.59%
Linda Vista Widening: Redwood to Trower	—	FY 2022/23	100.00%
Bank Fees	1,025.69		
Fee Study & Project Analysis	14301.69		

Ending Balance, June 30, 2021	<u>1,496,519.71</u>
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Recreation Center Fee

Beginning Balance, July 1, 2020	(729.35)
Revenues:	
Fees Collected	4,643.24
Interest	26.92
Expenditures:	
Project Costs	—
Bank Fees	1.43
Ending Balance, June 30, 2021	<u><u>3,939.38</u></u>

The “% of Total Project Funded by DIF” column above shows the percentage of total project costs that are planned to be funded by the Development Impact Fee.

(G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.

No interfund transfer or loans have been made utilizing these funds.

(H) The amount of refunds made pursuant to subdivision (e) Section 66001 and any allocations pursuant to subdivision (f) of Section 66001.

No refunds have been paid out of this fund.

Five-Year Findings – High Priority Improvement Payback Fee (Linda Vista Specific Plan)

For purposes of complying with Government Code Section 66001(d)(1), the City hereby finds as follows with respect to that portion of the account or fund remaining unexpended, whether committed or uncommitted:

(A) Identifying the purpose to which the fee is to be put.

All of the \$1.5 million of Residential Development Fee fund balance will be spent on the planned Trower Avenue and Linda Vista Avenue Widening Projects, with another \$0.6 million in revenue that will need to be collected in future years to fully fund the projects. The project work funded by the planning fee and recreation fee is complete and both the planning and recreation portions of the fee will be terminated by City Council Resolutions.

Residential Development Fee

Improvements	Account	Estimated Total Project Cost	DIF Funding: Inception through FY 20/21	Projected Future DIF in CIP Budget	Anticipated Other Funding Sources
Trower Ave Widening: Young to Linda Vista	ST14PW05	850,000	85,930	514,070	Street Improvement Fee Underground Component
Linda Vista Widening: Redwood to Trower	ST18PW01	1,550,000	531	1,549,469	None
	Totals	2,400,000	86,461	2,063,539	

The Recreation Center fund balance will be utilized to support Las Flores Recreation Center improvements that are currently being determined by Public Works staff based on a completed facility assessment report. The recreation component and the planning component of the fee to be terminated by City Council Resolution.

(B) Demonstrate a reasonable relationship between the fee and the purpose for which it is charged.

The technical reports as referenced in Reso. 88-16 (planning fee), Reso. 88-54 (residential development fee), Reso. 89-142 (recreation fee) and as amended, contained detailed nexus analyses, describing the need for the identified facilities and attributing the portion associated with new development to the various projects. The analysis contained in the technical reports remains valid and is incorporated by reference herein.

(C) Identify all sources and amounts of funding anticipated to complete financing for improvements not completed.

The Trower Avenue Widening project is primarily funded by the Linda Vista Residential Development Fee, but is also budgeted to receive \$250,000 from the Street Improvement Fee Underground Component. The Linda Vista Widening project is funded 100% by the Linda Vista Residential Development Fee.

(D) Designate the approximate date when such funding for incomplete improvements is expected to be deposited into the appropriate account or fund.

We anticipate having all funds necessary by FY 2023/24.

North Jefferson Park Fee Fiscal Year Ending June 30, 2021

For purpose of complying with Government Code Section 66006(b)(1), the following information is presented:

(A) Brief description of the fee.

The fee is established to finance the development of a two-acre neighborhood park and to contribute to the cost of development of Garfield Community Park in order to reduce the impact of new residents on the park and recreational facilities and to serve the new residents within the North Jefferson area. (Napa Municipal Code Chapter 15.76)

(B) The amount of the fee.

Park Fees: \$606.14/dwelling unit

(C) Beginning and ending balance of the account or fund.

(D) The amount of the fees collected and the interest earned.

(E) An identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees.

(F) An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.

North Jefferson Park Fee

Beginning Balance, July 1, 2020	1,535.53
Revenues:	
Fees Collected	—
Interest	(8.18)
Expenditures:	
Project Costs	—
Bank Fees	1.06
Ending Balance, June 30, 2021	<u>1,526.29</u>

The remaining fund balance will be used to make additional minor improvements and this fee will be subsequently terminated via Council resolution.

(G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an

interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.

No interfund transfer or loans have been made utilizing these funds.

(H) The amount of refunds made pursuant to subdivision (e) Section 66001 and any allocations pursuant to subdivision (f) of Section 66001.

No refunds have been paid out of this fund.

Five-Year Findings – North Jefferson Park Fee

For purposes of complying with Government Code Section 66001(d)(1), the City hereby finds as follows with respect to that portion of the account or fund remaining unexpended, whether committed or uncommitted:

(A) Identifying the purpose to which the fee is to be put.

The remaining fund balance of \$1,526.29 will be fully expended on planned minor improvements to the park (e.g. picnic tables and benches).

(B) Demonstrate a reasonable relationship between the fee and the purpose for which it is charged.

The technical reports as referenced in Reso. 90-284, contained a detailed nexus analyses, describing the need for the identified facilities and attributing the portion associated with new development to the various projects. The analysis contained in the technical reports remains valid and is incorporated by reference herein.

(C) Identify all sources and amounts of funding anticipated to complete financing for improvements not completed.

The planned improvements will be paid 100% with fund balance.

(D) Designate the approximate date when such funding for incomplete improvements is expected to be deposited into the appropriate account or fund.

The required funding has been obtained and the fee will be terminated by City Council Resolution.

North Jefferson Street Improvement Fee Fiscal Year Ending June 30, 2021

For purpose of complying with Government Code Section 66006(b)(1), the following information is presented:

(A) Brief description of the fee.

The fee is established for street and public works improvements to reduce the impacts of traffic generated by new development within the North Jefferson Street Improvement Fee Area. A complete listing of improvements and a map of the fee area can be found in Exhibit X to Resolution 90-077. (Napa Municipal Code Chapter 15.76, Ord. 4165; Res. 90-077)

(B) The amount of the fee.

Single-Family	\$10,379.47	/unit
EIR reimbursement	\$ 116.55	/unit
Administrative fee	\$ 11.68	/unit
Apartment	\$ 6,268.79	/unit
EIR reimbursement	\$ 70.39	/unit
Administrative fee	\$ 6.99	/unit
Condominium	\$ 6,063.25	/unit
EIR reimbursement	\$ 68.10	/unit
Administrative fee	\$ 6.76	/unit

(C) Beginning and ending balance of the account or fund.

(D) The amount of the fees collected and the interest earned.

(E) An identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees.

(F) An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.

North Jefferson Street Improvement Fee

Beginning Balance, July 1, 2020	3,064,471.78
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Revenues:

Fees Collected	(31,343.95)
Interest	11,380.97

Expenditures:

Project Costs		Est. Construction Start Date	% of Total Project Funded by DIF
Salvador Ave Widening	5,076.03	FY 2021/22	100.00%
Bank Fees	2,096.04		
Fee Study & Project Analysis	14,301.68		

Ending Balance, June 30, 2021	<u>3,037,336.73</u>
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The “% of Total Project Funded by DIF” column above shows the percentage of total project costs that are planned to be funded by the Development Impact Fee.

(G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.

No interfund transfer or loans have been made utilizing these funds.

(H) The amount of refunds made pursuant to subdivision (e) Section 66001 and any allocations pursuant to subdivision (f) of Section 66001.

No refunds have been paid out of this fund.

Five-Year Findings – North Jefferson Street Improvement Fee

For purposes of complying with Government Code Section 66001(d)(1), the City hereby finds as follows with respect to that portion of the account or fund remaining unexpended, whether committed or uncommitted:

(A) Identifying the purpose to which the fee is to be put.

The current fund balance will be spent on the Salvador Avenue Widening Project. Additionally, projects for roadway improvements and water main installation along Jefferson from Trower to Salvador, and a street widening project along El Centro are planned for the future.

North Jefferson Street Improvement Fee

Improvements	Account	Estimated Total Project Cost	DIF Funding: Inception through FY 20/21	Projected Future DIF in CIP Budget	Anticipated Other Funding Sources
Salvador Ave Widening	ST16PW02	2,700,000	101,819	2,598,181	None
Jefferson (Trower to Darling)		3,431,000	—	3,431,000	None
El Centro (La Paz to Wisteria)		225,000	—	225,000	None
	Totals	6,356,000	101,819	6,254,181	

(B) Demonstrate a reasonable relationship between the fee and the purpose for which it is charged.

The “North Jefferson Street Improvement Fee” report (as referenced in Resolution 90-077 and as amended) contained a detailed nexus analysis, describing the need for the identified facilities and attributing the portion associated with new development to the various projects. The analysis contained in the technical reports remains valid and is incorporated by reference herein.

(C) Identify all sources and amounts of funding anticipated to complete financing for improvements not completed.

The planned projects will be paid 100% with fund balance.

(D) Designate the approximate date when such funding for incomplete improvements is expected to be deposited into the appropriate account or fund.

The City anticipates having all funds necessary to complete the planned improvements by FY 2025/26.

Orchard Avenue Area Park Fee Fiscal Year Ending June 30, 2021

For purpose of complying with Government Code Section 66006(b)(1), the following information is presented:

(A) Brief description of the fee.

The fee is established to finance the development of a two acre park to reduce the impacts of new residents on the recreational facilities of the City of Napa and to serve new residents within the Orchard Avenue area. (Napa Municipal Code Chapter 15.72, Ord. 4123; Res. 89-360).

(B) The amount of the fee.

\$570.38/unit

(C) Beginning and ending balance of the account or fund.

(D) The amount of the fees collected and the interest earned.

(E) An identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees.

(F) An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.

Orchard Avenue Area Park Fee

Beginning Balance, July 1, 2020	51,884.37
Revenues:	
Fees Collected	—
Interest	(276.67)
Expenditures:	
Project Costs	—
Bank Fees	35.66
Ending Balance, June 30, 2021	<u>51,572.04</u>

(G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.

No interfund transfer or loans have been made utilizing these funds.

(H) The amount of refunds made pursuant to subdivision (e) Section 66001 and any allocations pursuant to subdivision (f) of Section 66001.

No refunds have been paid out of this fund.

Five-Year Findings – Orchard Avenue Park Fee

For purposes of complying with Government Code Section 66001(d)(1), the City hereby finds as follows with respect to that portion of the account or fund remaining unexpended, whether committed or uncommitted:

(A) Identifying the purpose to which the fee is to be put.

The remaining fund balance will be used for Abruzzini Park Improvements, currently slated to begin project planning in FY 2022/23. The fee will be terminated by City Council Resolution.

(B) Demonstrate a reasonable relationship between the fee and the purpose for which it is charged.

The technical reports as referenced in Reso. 89-360 contained a detailed nexus analysis, describing the need for the identified facilities and attributing the portion associated with new development to the various projects. The analysis contained in the technical reports remains valid and is incorporated by reference herein.

(C) Identify all sources and amounts of funding anticipated to complete financing for improvements not completed.

The planned improvements will be paid 100% with fund balance.

(D) Designate the approximate date when such funding for incomplete improvements is expected to be deposited into the appropriate account or fund.

The City currently has full funding for the planned projects and the fee will be terminated by City Council Resolution.

Solano Avenue/Orchard Avenue Traffic Mitigation Fee Fiscal Year Ending June 30, 2021

For purpose of complying with Government Code Section 66006(b)(1), the following information is presented:

(A) Brief description of the fee.

The fee is established to fund improvements at the Solano Ave/Salvador Ave/Highway 29 intersection.

(B) The amount of the fee.

Single Family Home	\$ 2,150.22 /unit
Mobile Home	\$ 795.58 /unit
Manufactured Home	\$ 1,268.64 /unit
Traffic Fee	\$ 215.03 /trip (based on land use)

(C) Beginning and ending balance of the account or fund.

(D) The amount of the fees collected and the interest earned.

(E) An identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees.

(F) An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.

Solano Avenue/Orchard Avenue Traffic Mitigation Fee

Beginning Balance, July 1, 2020	48,154.78
Revenues:	
Fees Collected	—
Interest	(256.78)
Expenditures:	
Project Costs	—
Bank Fees	33.11
Ending Balance, June 30, 2021	<u><u>47,864.89</u></u>

The “% of Total Project Funded by DIF” column above shows the percentage of total project costs that are planned to be funded by the Development Impact Fee.

(G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.

No interfund transfer or loans have been made utilizing these funds.

(H) The amount of refunds made pursuant to subdivision (e) Section 66001 and any allocations pursuant to subdivision (f) of Section 66001.

No refunds have been paid out of this fund.

Five-Year Findings – Solano Avenue/Orchard Avenue Traffic Mitigation Fee

For purposes of complying with Government Code Section 66001(d)(1), the City hereby finds as follows with respect to that portion of the account or fund remaining unexpended, whether committed or uncommitted:

(A) Identifying the purpose to which the fee is to be put.

The fee revenue is to be used for improvements at the Solano/Salvador intersection.

(B) Demonstrate a reasonable relationship between the fee and the purpose for which it is charged.

The “Solano Avenue/Orchard Avenue Area Traffic Mitigation Fee Analysis” (as presented to Council on June 12, 1990) contained a detailed nexus analysis, describing the need for the identified facilities and attributing the portion associated with new development to the various projects. The analysis contained in the technical reports remains valid and is incorporated by reference herein.

(C) Identify all sources and amounts of funding anticipated to complete financing for improvements not completed.

The planned improvements will be paid 100% with fund balance.

(D) Designate the approximate date when such funding for incomplete improvements is expected to be deposited into the appropriate account or fund.

The planned work has sufficient funding and the fee will be terminated by a City Council Resolution.

Redwood Road Improvement Fee Fiscal Year Ending June 30, 2021

For purpose of complying with Government Code Section 66006(b)(1), the following information is presented:

(A) Brief description of the fee.

The fee is established to widen a portion of Redwood Road between West Pueblo and four hundred (400) feet westerly of Forest Drive, and to install curb, gutter and sidewalk on the south side of Redwood Road. (Ord. 4009).

(B) The amount of the fee.

\$1,000/lot

(C) Beginning and ending balance of the account or fund.

(D) The amount of the fees collected and the interest earned.

(E) An identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees.

(F) An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.

Redwood Road Improvement Fee

Beginning Balance, July 1, 2020	280,795.40
Revenues:	
Fees Collected	—
Interest	(1,551.65)
Expenditures:	
Project Costs	—
Bank Fees	189.75
Fee Study & Project Analysis	14,301.69
Ending Balance, June 30, 2021	<u>279,054.00</u>

A feasibility study is needed on widening a portion of Redwood Road between West Pueblo and four hundred (400) feet west of Forest Drive and installing curb, gutter and sidewalk on the south side of Redwood Road. Existing terrain poses challenges to widening the road, so an engineering study is required to explore and identify a feasible alternative. Current available fund balance is enough for the project, which will be added to a future budget as manpower allows.

(G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.

No interfund transfer or loans have been made utilizing these funds.

(H) The amount of refunds made pursuant to subdivision (e) Section 66001 and any allocations pursuant to subdivision (f) of Section 66001.

No refunds have been paid out of this fund.

Five-Year Findings – Redwood Road Improvement Fee

For purposes of complying with Government Code Section 66001(d)(1), the City hereby finds as follows with respect to that portion of the account or fund remaining unexpended, whether committed or uncommitted:

(A) Identifying the purpose to which the fee is to be put.

The fee was established to improve a portion of Redwood Road between West Pueblo and four hundred (400) feet westerly of Forest Drive with pedestrian and bicycle improvements on Redwood Road. This project is not currently in the budget but is anticipated to use 100% of the fund balance and will be added to a future budget.

(B) Demonstrate a reasonable relationship between the fee and the purpose for which it is charged.

Ordinance 4009 contained a detailed nexus analysis, describing the need for the identified facilities and attributing the portion associated with new development to the various projects. The analysis contained in the ordinance remains valid and is incorporated by reference herein.

(C) Identify all sources and amounts of funding anticipated to complete financing for improvements not completed.

The project will be funded 100% by the Redwood Road Improvement Fee.

(D) Designate the approximate date when such funding for incomplete improvements is expected to be deposited into the appropriate account or fund.

We currently have the necessary funding for the project to complete pedestrian and bicycle improvements. The fee will be terminated by a City Council Resolution.

Street Improvement Fee Fiscal Year Ending June 30, 2021

For purpose of complying with Government Code Section 66006(b)(1), the following information is presented:

(A) Brief description of the fee.

The fee is established to finance street improvements to reduce the impacts of traffic generated by new development within the City of Napa. These improvements include, but are not limited to, the construction of new streets and bridges, the reconstruction of existing streets, the installation of traffic signals, and the undergrounding of existing overhead utilities along arterial and collector streets. (Napa Municipal Code Chapter 15.84, Ordinances 4127 and 4242, R89-362 and as amended)

(B) The amount of the fee.

See Master Fee Schedule 12.1-12.13.

(C) Beginning and ending balance of the account or fund.

(D) The amount of the fees collected and the interest earned.

(E) An identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees.

(F) An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.

Street Improvement Fee

Beginning Balance, July 1, 2020	370,872.56
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Revenues:

Fees Collected	373,687.00
Interest	(40,701.36)

Expenditures:

		Est. Construction Start Date	% of Total Project Funded by DIF
Project Costs			
1st St Bridge at Napa River		FY 2008/09	17.38%
First & Second Street Roundabouts along Calif Blvd		FY 2017/18	33.10%
Silverado-Third-Coombsville-East (5-way) Intersect	15.28	FY 2025/26	91.09%
Bank Fees	483.51		

Ending Balance, June 30, 2021	703,359.41
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The “% of Total Project Funded by DIF” column above shows the percentage of total project costs that are planned to be funded by the Development Impact Fee.

Street Improvement Fee Underground Component

Beginning Balance, July 1, 2020	4,939,032.81		
Revenues:			
Fees Collected	147,119.00		
Interest	19,095.42		
Expenditures:			
Project Costs		Est. Construction Start Date	% of Total Project Funded by DIF
Rule 20A Project - Jefferson Street	117,092.80	FY 2022/23	100.00%
Jefferson St Undergrounding Project	2,236.71	FY 2022/23	100.00%
Bank Fees	3,405.20		
Cost Allocation to General Fund	—		
Ending Balance, June 30, 2021	<u>4,982,512.52</u>		

The “% of Total Project Funded by DIF” column above shows the percentage of total project costs that are planned to be funded by the Development Impact Fee.

(G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.

There are no current interfund loans.

(H) The amount of refunds made pursuant to subdivision (e) Section 66001 and any allocations pursuant to subdivision (f) of Section 66001.

No refunds have been paid out of this fund.

Five-Year Findings – Street Improvement Fee and Underground Component

For purposes of complying with Government Code Section 66001(d)(1), the City hereby finds as follows with respect to that portion of the account or fund remaining unexpended, whether committed or uncommitted:

(A) *Identifying the purpose to which the fee is to be put.*

The current Street Improvement Fee fund balance of \$0.70 million will be fully spent on the streets projects listed below. These projects will additionally require \$6.2 million more in development impact fees to be collected in future years. The 1st St Bridge at Napa River and First & Second Street Roundabouts projects are currently fully funded; the other projects listed below will require additional funds.

Street Improvement Fee

Improvements	Account	Estimated Total Project Cost	DIF Funding: Inception through FY 20/21	Projected Future DIF in CIP Budget	Anticipated Other Funding Sources
1st St Bridge at Napa River	BR02PW01	15,959,526	2,773,849	—	HBRR, Measure A, Gas Tax
First & Second Street Roundabouts along Calif Blvd	ST14PW02	11,190,000	3,582,271	121,729	CMAQ, STIP, General Fund, Gas Tax
Silverado-Third-Coombsville-East (5-way) Intersect	ST14PW04	6,861,238	208,531	6,041,469	Street Mitigation, State Grant
Roundabouts west of SR29	ST16PW01	100,000	—	100,000	None
Soscol/Imola Intersection Improvements	ST18PW07	450,000	—	240,000	Developer Contribution
	Totals	34,560,764	6,564,651	6,503,198	

The majority of the Street Improvement Fee Underground Component fund balance will be spent on the projects listed below. Plans for remaining fund balance include undergrounding Clay Street and Seminary Street. All projects listed below are fully funded.

Street Improvement Fee Underground Component

Improvements	Account	Estimated Total Project Cost	DIF Funding: Inception through FY 20/21	Projected Future DIF in CIP Budget	Anticipated Other Funding Sources
Rule 20A Project - Jefferson Street	UU12PW01	1,053,760	234,123	819,637	PG&E R20A Program Credits
Trancas Rule 20A (Jefferson to Soscol)	UU17PW01	530,000	—	365,000	None
Jefferson St Undergrounding Project	UU18PW01	1,325,000	3,370	1,321,630	None
Third Street Undergrounding Rule 20B	UU18PW02	1,160,000	—	1,160,000	None
Trower Ave Widening: Young to Linda Vista	ST14PW05	850,000	—	250,000	Big Ranch Area Development Fee
Big Ranch Road Widening	ST11PW02	2,307,000	—	500,000	Linda Vista Residential Development Fee
	Totals	7,225,760	237,493	4,416,267	

(B) Demonstrate a reasonable relationship between the fee and the purpose for which it is charged.

The technical report as referenced in Resolution 89-362 contained a detailed nexus analysis, describing the need for the identified facilities and attributing the portion associated with new development to the various projects. The analysis contained in the technical reports remains valid and is incorporated by reference herein.

(C) Identify all sources and amounts of funding anticipated to complete financing for improvements not completed.

Projects that require future funding from non-DIF sources:

- Silverado-Third-Coombsville-East (5-way) Intersection: \$500,000 from state grant
- Trower Avenue Widening: \$514,070 from Linda Vista Residential Development Fee
- Big Ranch Road Widening: \$1,442,347 from Big Ranch Area Development Fee
- Rule 20A Project – Jefferson St.: PG&E has collected and intends to allocate approximately \$9,670,000 Rule 20A work credits towards the completion of the project.

(D) Designate the approximate date when such funding for incomplete improvements is expected to be deposited into the appropriate account or fund.

We anticipate that we will collect all required funds by FY 2024/25.

Parking Impact Fee Fiscal Year Ending June 30, 2021

For purpose of complying with Government Code Section 66006(b)(1), the following information is presented:

(A) Brief description of the fee.

The fee is established to provide public parking facilities in order to mitigate the impacts of non-residential development on public parking in the Parking Exempt District. The fee will be used to finance the acquisition of land and the construction of new public parking facilities to serve new non-residential development in the Parking Exempt Overlay District. (Napa Municipal Code Chapter 15.94)

(B) The amount of the fee.

\$23,000 per parking space (effective 11/21/16). (Based on parking demand generated by net new, non-residential square footage constructed in the Parking Exempt District.)

(C) Beginning and ending balance of the account or fund.

(D) The amount of the fees collected and the interest earned.

(E) An identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees.

(F) An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.

Parking Impact Fee

Beginning Balance, July 1, 2020	2,866,249.21
Revenues:	
Fees Collected	—
Interest	(15,284.03)
Expenditures:	
Project Costs	—
Bank Fees	1,969.93
Ending Balance, June 30, 2021	<u><u>2,848,995.25</u></u>

No expenditures were made for public improvements during this fiscal year. The City must accumulate funds sufficient for the construction of a new parking garage, which is estimated to cost approximately \$15 million for a 350-space structure.

It is uncertain when sufficient additional funds will be accumulated to commence with design and construction of a new parking garage. However, in the coming years, it is estimated that

approximately \$4 million to \$5 million in Parking Impact Fees may result from new development.

(G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.

No interfund transfer or loans have been made utilizing these funds.

(H) The amount of refunds made pursuant to subdivision (e) Section 66001 and any allocations pursuant to subdivision (f) of Section 66001.

No refunds have been paid out of this fund.

Five-Year Findings – Parking Impact Fee

For purposes of complying with Government Code Section 66001(d)(1), the City hereby finds as follows with respect to that portion of the account or fund remaining unexpended, whether committed or uncommitted:

(A) Identifying the purpose to which the fee is to be put.

The fees will be used to construct one or more parking structures to serve parking demand in the Parking Exempt District. Fund balance is not currently sufficient to construct a parking garage. Funds are being held as additional revenue is collected and the City determines the parking demand for the District.

(B) Demonstrate a reasonable relationship between the fee and the purpose for which it is charged.

The Parking Impact Fee was established by ordinance in 2005 and updated in 2016. At inception the fee was established at \$7,500 per space, which was significantly lower than the cost to develop public parking, but at the time the City had a funding strategy through its redevelopment agency to finance a portion of the cost of a new garage, and downtown was in a different economic climate than today. A 2016 nexus study concluded the per-space cost for constructing structured parking is between \$23,000 without and \$32,000 with land acquisition. The City Council established the fee at \$23,000 per space.

The updated fee, combined with additional City parking funds, will achieve the purpose of acquiring land if necessary and designing and developing new parking facilities to serve private development in the Parking Exempt District.

(C) Identify all sources and amounts of funding anticipated to complete financing for improvements not completed.

The City has approximately \$9.7 million in its various parking funds (Flood Project Mitigation; Parking Assessment District; Parking License; and Parking Impact Fee funds collected to date). Through December 2038, the City will receive an additional \$1.67 million through a license agreement for the leasing of the top level of the Clay Street Garage. The City Council may consider a General Fund contribution to fill the funding gap for the next parking garage if necessary. Possible future financing mechanisms to be developed by the City to address future parking needs may include formation of a community facilities district or infrastructure financing district, other assessments or impact fees, or public-private partnerships.

(D) Designate the approximate date when such funding for incomplete improvements is expected to be deposited into the appropriate account or fund.

It is anticipated that the City may have sufficient funds to commence design and construction of a parking structure in FY 2026/27.

Water Capacity Fees Fiscal Year Ending June 30, 2021

For purpose of complying with Government Code Sections 66006(b)(1) and 66013, the following information is presented:

(A) Brief description of the fee.

The fee is established to fund costs of capital infrastructure for the City's water system, proportionate to the demand generated by new development. The Fee Report referenced in Resolution R2015-69 addresses the determinations required by California Government Code 66001(a)(1)-(4). (Napa Municipal Code Section 13.04.110, R2015-69)

(B) The amount of the fee.

See Master Fee Schedule 13.5.47 - 13.5.57.

(C) Beginning and ending balance of the account or fund.

(D) The amount of the fees collected and the interest earned.

(E) An identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees.

(F) An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.

Water Capacity Fees

Beginning Balance, July 1, 2020 —

Revenues:

Fees Collected 1,274,237.00

Interest —

Expenditures:

Project Costs		Est. Construction Start Date	% of Total Project Funded by DIF
Water Main Rehab & Replacement	1,065,049.39	FY 2020/21	100.00%
Development Related Improvements	130,017.10	FY 2020/21	100.00%
Hydrant and Valve Rehab & Replacement	79,170.51	FY 2020/21	54.38%

Bank Fees —

Ending Balance, June 30, 2021 —

The “% of Total Project Funded by DIF” column above shows the percentage of total project costs that are planned to be funded by the Development Impact Fee.

In FY2020/2021, a total of \$1,613,876.22 in costs were incurred from fourteen (14) capital projects related to the capital infrastructure for the City’s water system. As shown in the table above, three (3) of these projects used funding from the Water Capacity Fees with the remaining eleven (11) projects funded by water rates or other funding sources. Water Capacity Fees accounted for 78.96% of the funding for project costs incurred for capital infrastructure projects related to the City’s water system in FY2020/21.

(G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.

No interfund transfer or loans have been made utilizing these funds.

(H) The amount of refunds made pursuant to subdivision (e) Section 66001 and any allocations pursuant to subdivision (f) of Section 66001.

No refunds have been paid out of this fund.

Five-Year Findings – Water Capacity Fees

For purposes of complying with Government Code Section 66001(d)(1), the City hereby finds as follows with respect to that portion of the account or fund remaining unexpended, whether committed or uncommitted:

There are no Water Capacity Fee revenues that remain unexpended. Additionally, Water Capacity Fees are subject to the procedural requirements of Government Code Section 66013. Therefore, there are no additional findings required.

Park Land Dedication Fee Fiscal Year Ending June 30, 2021

For purpose of complying with Government Code Section 66006(b)(1), the following information is presented:

(A) Brief description of the fee.

The fee is established to provide for new park or recreational facilities reasonably related to serving the development by way of the acquisition of necessary land. If it is determined that there is sufficient land available the funds may be used for developing new or rehabilitating existing park and recreational facilities; the improvement of the existing park and recreational facility; or the improvement of other local parks and recreational facilities in the area serving the development. (Napa Municipal Code Section 16.32.040)

(B) The amount of the fee.

See Master Fee Schedule 12.14.1 - 12.14.6.

(C) Beginning and ending balance of the account or fund.

(D) The amount of the fees collected and the interest earned.

(E) An identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees.

(F) An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.

Quadrant 1

Beginning Balance, July 1, 2020	3,822,364.34		
Revenues:			
Fees Collected	193,350.00		
Interest	17,816.32		
Expenditures:			
Project Costs		Est. Construction Start Date	% of Total Project Funded by DIF
Senior Center Renovations	11,967.32	FY 2017/18	13.83%
Bank Fees	2,699.22		
Ending Balance, June 30, 2021	<u>4,018,864.12</u>		

Quadrant 2

Beginning Balance, July 1, 2020	1,481,812.28
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Revenues:

Fees Collected	120,564.00
Interest	5,501.87

Expenditures:

Project Costs		Est. Construction Start Date	% of Total Project Funded by DIF
Senior Center Renovations	11,967.32	FY 2017/18	13.83%
Bank Fees	1,036.65		

Ending Balance, June 30, 2021	<u>1,594,874.18</u>
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Quadrant 3

Beginning Balance, July 1, 2020	1,510,256.46
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Revenues:

Fees Collected	18,046.00
Interest	4,771.45
Loan Repayment from Park Development Quadrant 4 *	9,589.11

Expenditures:

Project Costs		Est. Construction Start Date	% of Total Project Funded by DIF
Senior Center Renovations	11,967.32	FY 2017/18	13.83%
Bank Fees	459.13		

Ending Balance, June 30, 2021	<u>1,530,236.57</u>
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*Per R2008-23, repayment of \$975,000 loan from Park Land Dedication Fee Quadrant 3 to Park Development Fee Quadrant 4 began 3/1/12, with final payment on 3/1/26.

Quadrant 4

Beginning Balance, July 1, 2020	1,520,511.08		
Revenues:			
Fees Collected	87,846.00		
Interest	6,780.07		
Expenditures:			
Project Costs		Est. Construction Start Date	% of Total Project Funded by DIF
Senior Center Renovations	11,967.33	FY 2017/18	13.83%
Bank Fees	1,078.49		
Ending Balance, June 30, 2021	<u>1,602,091.33</u>		

(G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.

On February 5, 2008, City Council approved an inter-fund loan from the Quadrant 3 Park Acquisition Fund to the Quadrant 4 Park Development Fund in the amount of \$975,000 for the construction of the Napa River Oxbow Preserve. The first payment on the loan was made on March 1, 2012 and the final payment is scheduled to occur on March 1, 2026. As of June 30, 2021, \$341,173 of the loan amount has been repaid.

(H) The amount of refunds made pursuant to subdivision (e) Section 66001 and any allocations pursuant to subdivision (f) of Section 66001.

No refunds have been paid out of this fund.

Five-Year Findings – Park Land Dedication Fee

For purposes of complying with Government Code Section 66001(d)(1), the City hereby finds as follows with respect to that portion of the account or fund remaining unexpended, whether committed or uncommitted:

(A) Identifying the purpose to which the fee is to be put.

The development impact fees will be used for the design, installation, and construction of public park and recreational facilities and other appropriate costs, such as contingency, architecture, engineering, and administration, to mitigate the direct and cumulative impacts of new development within the City. In particular, the City must accumulate sufficient funds to replace existing City-owned facilities and complete facility expansions to accommodate increased demand from new development as identified in the Parks and Facilities Master Plan, which was estimated to cost approximately \$53,001,000 overall or \$883,000 per park. It is uncertain when sufficient additional funds will be accumulated to commence with design and construction. It is anticipated that the City may have sufficient funds to commence design and construction of Phase I improvements in FY 2024/25..

(B) Demonstrate a reasonable relationship between the fee and the purpose for which it is charged.

When available, funds are to be utilized to provide for new park or recreational facilities reasonably related to serving the community by way of the acquisition of necessary land. In circumstances where there is sufficient land available, the funds can be utilized for developing or rehabilitating new or existing park and recreational facilities.

(C) Identify all sources and amounts of funding anticipated to complete financing for improvements not completed.

No other sources of funding.

(D) Designate the approximate date when such funding for incomplete improvements is expected to be deposited into the appropriate account or fund.

As fees are collected, funds are deposited into account for future expenditure.

Park Development Fee Fiscal Year Ending June 30, 2021

For purpose of complying with Government Code Section 66006(b)(1), the following information is presented:

(A) Brief description of the fee.

The fee is established to provide for the development and construction of park and recreational facilities in connection with the construction of new residential developments. (Napa Municipal Code Chapter 15.68)

(B) The amount of the fee.

See Master Fee Schedule 12.14.7 - 12.14.11.

(C) Beginning and ending balance of the account or fund.

(D) The amount of the fees collected and the interest earned.

(E) An identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees.

(F) An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.

Quadrant 1

Beginning Balance, July 1, 2020	396,534.29
Revenues:	
Fees Collected	27,772.00
Interest	(1,560.02)
Expenditures:	
Project Costs	—
Bank Fees	283.38
Ending Balance, June 30, 2021	<u>422,462.89</u>

Quadrant 2

Beginning Balance, July 1, 2020	41,248.23
Revenues:	
Fees Collected	16,970.00
Interest	(162.32)
Expenditures:	
Project Costs	—
Bank Fees	31.34
Ending Balance, June 30, 2021	<u><u>58,024.57</u></u>

Quadrant 3

Beginning Balance, July 1, 2020	182,447.79
Revenues:	
Fees Collected	1,003.00
Interest	(813.18)
Expenditures:	
Project Costs	—
Bank Fees	125.50
Ending Balance, June 30, 2021	<u><u>182,512.11</u></u>

Quadrant 4

Beginning Balance, July 1, 2020	(125,465.98)
Revenues:	
Fees Collected	14,042.00
Interest	(4,452.89)
Expenditures:	
Project Costs	—
Loan Repayment to Park Land Dedication Fee Quadrant 3*	—
Bank Fees	372.92
Ending Balance, June 30, 2021	<u><u>(116,249.79)</u></u>

*Per R2008-23, repayment of \$975,000 loan from Park Land Dedication Fee Quadrant 3 to Park Development Fee Quadrant 4 began on 3/1/12, with final payment on 3/1/26.

(G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.

On February 5, 2008, City Council approved an inter-fund loan from the Quadrant 3 Park Acquisition Fund to the Quadrant 4 Park Development Fund in the amount of \$975,000 for the construction of the Napa River Oxbow Preserve. The first payment on the loan was made on March 1, 2012 and the final payment is scheduled to occur on March 1, 2026. As of June 30, 2021, \$341,173 of the loan amount has been repaid.

(H) The amount of refunds made pursuant to subdivision (e) Section 66001 and any allocations pursuant to subdivision (f) of Section 66001.

No refunds have been paid out of this fund.

Five-Year Findings – Park Development Fee

For purposes of complying with Government Code Section 66001(d)(1), the City hereby finds as follows with respect to that portion of the account or fund remaining unexpended, whether committed or uncommitted:

a) Identifying the purpose to which the fee is to be put.

The development impact fees will be used for the design, installation, and construction of public park and recreational facilities and other appropriate costs, such as contingency, architecture, engineering, and administration, to mitigate the direct and cumulative impacts of new development within the City. In particular, the City must accumulate sufficient funds to replace existing City-owned facilities and complete facility expansions to accommodate increased demand from new development as identified in the Parks and Facilities Master Plan, which was estimated to cost approximately \$53,001,000 overall or \$883,000 per park. It is uncertain when sufficient additional funds will be accumulated to commence with design and construction. It is anticipated that the City may have sufficient funds to commence design and construction of Phase I improvements in FY 2024/25.

(B) Demonstrate a reasonable relationship between the fee and the purpose for which it is charged.

When available, funds are to be utilized for development of new park or recreational facilities or the rehabilitation or improvement of existing park or recreational facilities.

(C) Identify all sources and amounts of funding anticipated to complete financing for improvements not completed.

No other sources of funding.

(D) Designate the approximate date when such funding for incomplete improvements is expected to be deposited into the appropriate account or fund.

As fees are collected, funds are deposited into account for future expenditure.

Affordable Housing Impact Fee Fiscal Year Ending June 30, 2021

For purpose of complying with Government Code Section 66006(b)(1), the following information is presented:

(A) Brief description of the fee.

This fee is designed to help fund the creation of affordable housing units for very low and low-income households. (Napa Municipal Code Chapter 15.94, Reso. 2016-69)

(B) The amount of the fee.

Condo	\$	4.75	/sq ft
Single-Family	\$	4.75	/sq ft
Multi-Family	\$	4.05	/sq ft
Office	\$	3.55	/sq ft
Hotel	\$	6.00	/sq ft
Retail	\$	3.55	/sq ft
Industrial	\$	3.50	/sq ft

(C) Beginning and ending balance of the account or fund.

(D) The amount of the fees collected and the interest earned.

(E) An identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees.

(F) An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.

Affordable Housing Impact Fee

Beginning Balance, July 1, 2020	7,178,846.79
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Revenues:

Fees Collected	820,764.70
Interest	28,033.69
Application Fee	—
Development Loan Interest	2,082.00

Expenditures:

Project Costs	254,495.25
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Ending Balance, June 30, 2021	<u>7,775,231.93</u>
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Project Costs Description

Staff time working on Affordable Housing Developments and Monitoring of Affordable Housing Projects	138,769.63
Other Administrative Costs	<u>115,725.62</u>
Total Program Costs	<u>254,495.25</u>

The following is a list of the public facilities the City plans to provide using the fees collected:

Heritage House/Valle Verde: Loan reservation has been provided for the project which is expected to be 90 units. It will include 88 units for low and very-low income households and two unrestricted managers' units. Thirty-three of the units will be permanent supportive housing units. Project is expected to begin construction, which includes rehabilitation of an abandoned assisted living facility and construction of 24 new units, in the spring 2022.

Wine Valley Lodge: 54-units of affordable housing plus one unrestricted manager's unit would be created by the conversion of a motel into a permanent supportive housing project. Acquisition and renovations are expected to occur in 2022.

Housing Impact Fee Over-the-Counter NOFA: The City issued a Notice of Funding Availability (NOFA) in the fall of 2021. Of this, \$1 million is anticipated to be awarded on an over-the-counter basis to an as-of-yet identified project in 2022.

(G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.

No interfund transfer or loans have been made utilizing these funds.

(H) The amount of refunds made pursuant to subdivision (e) Section 66001 and any allocations pursuant to subdivision (f) of Section 66001.

No refunds have been paid out of this fund.

Five-Year Findings – Affordable Housing Impact Fee

For purposes of complying with Government Code Section 66001(d)(1), the City hereby finds as follows with respect to that portion of the account or fund remaining unexpended, whether committed or uncommitted:

(A) Identifying the purpose to which the fee is to be put.

This fee is designed to help fund the creation of affordable housing units for very low and low-income households. (Napa Municipal Code Chapter 15.94, Reso. 2016-69)

All fees collected will be used for the creation of affordable housing in the city of Napa.

Current projects are:

Wine Valley Lodge \$3,000,000 - Heritage House: \$2,200,000

(B) Demonstrate a reasonable relationship between the fee and the purpose for which it is charged.

Per Resolution 2016-69, the city commissioned multiple detailed nexus studies, describing the need for the identified facilities and attributing the portion associated with new development to the various projects.

(C) Identify all sources and amounts of funding anticipated to complete financing for improvements not completed.

From the available fund balance as of June 30, 2021, grants/loans totaling approximately \$5,200,000 either have been committed or are anticipated to be committed to affordable housing projects.

(D) Designate the approximate date when such funding for incomplete improvements is expected to be deposited into the appropriate account or fund.

An approximate date for receipt of available funding will be determined as projects are prioritized and alternate funding sources are identified. As there continues to be an unmet need for affordable housing in the City of Napa, additional funds will be collected as development occurs in order to provide funding for additional affordable housing for very low and low-income households.